Global Affairs Canada (GAC) Compliance Elements

When extracting obligations from **Global Affairs Canada (GAC)** contribution agreements and subsequent amendments, you are mapping out the legally binding requirements that a funding recipient must fulfill to remain compliant. Because GAC contribution agreements are governed by the Treasury Board Directive on Transfer Payments, compliance is strictly audited. [1, 2]

The core obligations generally found within standard GAC General Terms and Conditions, project-specific schedules, and amendments are categorized below: [1, 2]

1. Financial & Expenditure Compliance

- **Eligible Costs Only:** You are obligated to spend funds strictly on reasonable, direct, and pre-approved project costs outlined in the budget matrix. Profit generation by the recipient is explicitly prohibited. [1, 2, 3]
- **Foreign Exchange & Tracking:** If funds are converted from Canadian Dollars (CAD) to local currencies, expenses must be calculated using the exchange rate from the specific date the transfer was received. Foreign exchange losses are ineligible for reimbursement, and gains cannot be pocketed. [1]
- **Salary Caps & Increases:** Salary allocations must adhere strictly to GAC's *Policy on Salary Increases*, controlling cost adjustments on a position-by-position basis. [1]
- **Cost-Sharing Commitments:** If the agreement mandates cost-sharing, you are obligated to track and prove your organization's matching funds, which must be specific to the GAC project and cannot be sourced from other federally funded initiatives. [1, 2]

2. Operational & Project Governance

- **Flow-Down Clauses to Subcontracts:** Any subcontracts or sub-agreements with local partners or ultimate recipients must be in writing. You are legally obligated to mirror core terms—specifically audit rights, intellectual property ownership, and anti-corruption declarations—down to those third parties. [1, 2]
- **Asset Management:** You must maintain a register for any project-purchased assets. Disposal or transfer of assets over specified thresholds (typically $10,000) requires a formal, GAC-approved disposal plan. [1, 2, 3]

- **Health and Duty of Care:** Recipients must assume full **duty of care** for personnel assigned abroad, including ensuring pre-deployment security assessments and basic health protections. [1]
- **Procurement Standards:** Goods, services, or specialized medical supplies must be procured transparently at fair market value and follow global baseline standards (e.g., WHO guidelines for medical supplies). [1, 2, 3, 4]

3. Reporting, Audits, and Record Retention

- **Periodic & Final Reporting:** Recipients must submit quarterly financial progress claims, annual project performance snapshots, and a final narrative/financial statement within a strict window (frequently 7 to 30 days) of project completion.
- **Right of Audit:** GAC and the Auditor General of Canada retain full rights to inspect physical project sites and access financial accounts.
- **Record Retention:** All primary receipts, timesheets, procurement documentation, and flight records (requiring lowest-fare economy routing) must be safely archived for a period of **3 to 5 years** post-agreement expiration. [1, 2, 3, 4, 5, 6]

4. Integrity and Mandatory Declarations

Under Section 22 of GAC's General Terms, recipients guarantee absolute compliance with: [1, 2]

- **Preventing Sexual Exploitation and Abuse (PSEA):** Code of conduct frameworks explicitly prohibiting sexual misconduct must be actively enforced across all staff and volunteers.
- **Anti-Terrorism & Sanctions:** Verifying that zero funding flows to individuals or entities blacklisted under Canadian economic sanctions or anti-terrorism legislation.
- **Anti-Corruption:** Ensuring no contingency fees or illicit incentives were paid to secure the transfer payment agreement.
- **Public Recognition:** Obligation to visibly acknowledge the financial support of the Government of Canada in public communications, subject to advanced notice guidelines. [1, 2, 3, 4, 5]

5. Managing Amendments

When an amendment is executed, it alters or adds to these obligations. Key considerations include:

- **Strict Timelines:** Amendments to contribution agreements typically must be requested and finalized **at least 3 to 4 weeks prior** to the original project end date.
- **Scope Reductions/Extensions:** Amendments generally adjust the *Agreement End Date* or redistribute line-item flexibility within the budget matrix. They explicitly **cannot** be used to introduce entirely new target markets or unauthorized project outcomes without restarting the proposal cycle.
- **Termination Clauses:** If an amendment triggers early project termination, the recipient remains legally obligated to account for all outstanding balances, returning overpayments as an active debt owed to the Crown. [1, 2, 3, 4, 5]